

As for the risk of declining cognitive abilities, managing the bond and investment portfolio may still be complicated, but the bonds can provide additional behavioral benefits. Knowing that income is accounted for over the next several years can help retirees stay the course and not sell off their stock positions in a panic after a market decline. Retirees can take comfort in the knowledge that there will be time for their stocks to recover before they must be sold. By using bonds to provide income for a fixed number of years, it may also be easier for retirees to understand why the overall asset allocation is what it is. Individuals may not be clear why their portfolio has 60 percent stock funds and 40 percent bond funds, but if they instead think in terms of how building a bond ladder with 40 percent of their assets allows for eight years of income, for instance, then the nature of their asset allocation choice may be clearer.

Income Annuities, Traditional Pensions, and Other Annuity Types

Partially annuitizing your assets can also provide an effective way to build an income floor for retirement. Income annuities, as opposed to individual bonds, provide longevity protection by hedging the risks associated with not knowing how long you will live. Fixed annuities can be real or nominal, and the initial payments can begin within one year (single-premium immediate annuities or SPIAs) or be deferred to a later age (deferred-income annuities, or DIAs). Some employers still offer traditional defined-benefit pensions, which can also be treated as an income annuity. Though income annuities only represent about 4 percent of total annuity sales, they are the type of annuity that is of the utmost importance as a retirement income tool.

Deciding whether to annuitize, when to annuitize, how much to annuitize, and whether to build a ladder of annuities over time are all important questions. Annuities protect from longevity and sequence-of-returns risk, and they can protect from inflation risk if a real annuity is purchased. Because income continues automatically, they also provide protection for cognitive decline. David Laibson, a professor at Harvard University, refers to income annuities as “dementia insurance.” They help manage many risks, but they provide no growth potential, and life-only versions will not support an inheritance by themselves. In general, they are also not liquid if more